কোনো ভুল থাকলে/সংশোধনের প্রয়োজন আছে – মনে হলে, GROUP এ জানাবেন ।

Spring – 23 :

Ques – 1 :

1-a) Discuss the users of Accounting informtation? Discuss the Accounting branches that provide particular information to the users. (Marks : 4)

Solution :

Users of Accounting Information:

Individuals: For Personal financial planning and decision-making.

Business: For Strategic planning, operational control.

Investors & Visitors: For Assessing financial health and investment potential.

Government Regulatory Agencies: For Ensuring taxation and regulatory compliance.

Trading Authorities: For Assessing financial reliability of trading partners.

Non-Profit Organizations: For Demonstrating financial transparency and accountability.

Branches of Accounting :

Accounting is generally classified into three different disciplines:

1. Financial Accounting:

Financial Accounting is based on a systematic method of recording transactions of any business

according to the accounting principles. It is the original form of the accounting process. The main

purpose of financial accounting is to calculate the profit or loss of a business during a period and to

provide an accurate picture of the financial position of the business as on a particular date.

2. Cost Accounting:

Cost accounting deals with evaluating the cost of a product or service offered. It calculates the cost

by considering all factors that contribute to the production of the output, both manufacturing and

administrative factors. The objective of cost accounting is to help the management in fixing the

prices and controlling the cost of production.

3. Management Accounting:

This branch of accounting provides information to management for better administration of the

business. It helps in making important decisions and controlling of various activities of the

business. The management is able to take decisions efficiently with the help of various

Management Information Systems such as Budgets, Projected Cash Flow and Fund Flow

Statements, Variance Analysis reports, Cost-Volume-Profit Analysis reports, Break-Even-Point

calculation, etc.

1-b) Write short notes with example: **i) Accounting Equation**

ii) Historical cost principle

(Marks : 6) **iii) Going concern assumption**

iv) Materiality

Solution :

i) Accounting Equation:

- Shows balance: Assets = Liabilities + Equity.

- Assets: What a company owns (e.g., cash, inventory).

- Liabilities: What a company owes (e.g., loans, debts).

- Equity: Owner's interest in the company (e.g., investments, earnings).

- Example: A business has $50,000 in assets (cash, inventory), owes $20,000 in liabilities (loans), so owner's equity is $30,000.

ii) Historical Cost Principle:

- Records assets at original cost.

- Ignores market value changes.

- Example: A company buys a machine for $10,000 and records it at that cost, even if it's worth more now.

iii) Going Concern Assumption:

- Assumes the business will continue operations.

- Values assets based on their use, not liquidation.

- Example: A company accounts for its building's value assuming it will remain operational for years.

iv) Materiality:

- Focuses on important information.

- Ignores insignificant details.

- Example: A company buys office supplies for $20; doesn't record it due to its immaterial impact on financial statements.

Spring – 22 :

1-a)Discuss the branches of accounting and different types of Business Organization(Marks :4)

Solution :

Branches of Accounting :

Accounting is generally classified into three different disciplines:

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Financial Accounting is based on a systematic method of recording transactions of any business according to the accounting principles. It is the original form of the accounting process. The main purpose of financial accounting is to calculate the profit or loss of a business during a period and to provide an accurate picture of the financial position of the business as on a particular date.

2. Cost Accounting:

Cost accounting deals with evaluating the cost of a product or service offered. It calculates the cost by considering all factors that contribute to the production of the output, both manufacturing and administrative factors. The objective of cost accounting is to help the management in fixing the prices and controlling the cost of production.

3. Management Accounting:

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Statements, Variance Analysis reports, Cost-Volume-Profit Analysis reports, Break-Even-Point calculation, etc.

Different Types of Business Organization :

1. Sole Proprietorship : A business owned by a single person who has unlimited liability. The sole proprietorship is the simplest business form under which one can operate a business. The sole proprietorship is not a legal entity. Income and losses are taxed on the individuals personal income tax return. The sole proprietorship is a popular business form due to its simplicity, ease of setup, and nominal cost.

2. Partnership : A business organization which has two or more owners, all of whom have unlimited liability, Where two or more individuals pool money, skills, and other resources, and share profit and loss in accordance with terms of the partnership agreement.

3. Company: A business organization which is incorporated under the companies act and has limited liability. A group of individuals, such as an association, corporation, partnership, or union, associated for the purpose of carrying out, maintaining, or performing a commercial or industrial enterprise.

1-b) Explain Accounting Equation with example. Discuss any five of the accounting concepts and principles. **(Marks : 6)**

Solution :

Accounting Equation:

The Accounting Equation is the foundation of double-entry accounting. It shows the relationship between a company's assets, liabilities, and equity. The equation is: Assets = Liabilities + O.Equity. This equation must always be in balance, meaning the total value of assets must equal the total value of liabilities and equity.

Example: Imagine you start a business by investing $10,000 of your savings (equity). You also borrow $5,000 from a bank (liability). With this $15,000, you buy equipment (asset) worth $15,000. The equation is balanced:

$15,000 (Assets) = $5,000 (Liabilities) + $10,000 (Equity)

Five accounting concepts and principles :

Principle of regularity: Regularity can be defined as conformity to enforced rules and laws.

Principle of consistency: This principle states that when a business has once fixed a method for the accounting treatment of an item, it will enter all similar items that follow in exactly the same way.

Principle of sincerity: According to this principle, the accounting unit should reflect in good faith the reality of the company's financial status.

Principle of the permanence of methods: This principle aims at allowing the coherence and comparison of the financial information published by the company.

Principle of non-compensation: One should show the full details of the financial information and not seek to compensate a debt with an asset, revenue with an expense, etc.

Autumn-21 : **Total Marks : 7**

2-a) We know accounting is the systematic recordation of the financial transactions of a business. How many activities can such recordation be split into ? And what are they ?

Solution :

Accounting recordation can be split into three main activities:

1. Identifying Transactions: This involves recognizing and identifying the financial events and transactions that impact a business's financial position. It's about capturing the data about what happened.

2. Recording Transactions: Once the transactions are identified, they need to be recorded in a systematic manner. This involves entering the relevant details into the accounting system, such as date, amounts, accounts affected, and the nature of the transaction.

3. Summarizing and Reporting: After recording transactions, the next step is to summarize and organize the information. This includes preparing financial statements like the income statement, balance sheet, and cash flow statement. These reports provide insights into the business's financial performance and position.

These three activities work together to create a clear and accurate picture of a business's financial health.

2-b) Accounting information of a company is used for decision making. List the decision makers who use accounting information.

Solution :

Decision makers who use accounting information include:

- Management

- Investors

- Creditors

- Government Regulatory Agencies

- Customers

- Competitors

2-c) What is the difference between Accounts payable (AP) and Accounts receivable (AR)?

Solution :

Accounts Payable (AP):

Definition: Money a business owes to suppliers or creditors for goods/services received on credit.

Nature: It's a liability, indicating a future payment obligation.

Example: If a company buys $1,000 of supplies on credit, it records a $1,000 accounts payable.

Accounts Receivable (AR):

Definition: Money owed to a business by customers for goods/services provided on credit.

Nature: It's an asset, representing future expected cash inflow.

Example: If a company sells $2,000 of products on credit, it records a $2,000 accounts receivable.

In simple terms, AP is money you owe, while AR is money owed to you.

Spring-17 :

Ques-1 :

1-a) Define eceounting and accounting equation. Discuss the Ethics of accounting. (Marks : 4)

Solution :

Accounting:

Accounting is the systematic process of recording, summarizing, analyzing, and interpreting financial transactions of a business. It involves gathering and reporting financial information to provide insights into a company's financial health and performance, aiding decision-making for both internal and external stakeholders.

Accounting Equation:

The Accounting Equation is a fundamental principle in accounting that demonstrates the relationship between a company's assets, liabilities, and equity. It can be expressed as: Assets = Liabilities + O.Equity. This equation must always be in balance, ensuring that a company's resources are financed either through liabilities (debts) or equity (owner's investments).

Ethics of Accounting:

Ethics in accounting refers to the principles and standards that guide accountants and financial professionals in their work. Some key ethical considerations include:

1. **Integrity**: Accountants must be honest and truthful in their financial reporting and avoid any misrepresentation or manipulation of data.

2. Objectivity: Accountants should be impartial and not let personal bias influence their reporting. They must present information fairly and accurately.

3. Confidentiality: Accountants have a duty to keep sensitive financial information confidential and not disclose it without proper authorization.

4. Professional Competence: Accountants should maintain their professional knowledge and skills, ensuring that they are capable of accurately handling financial information.

5. Transparency: Financial reports should be clear, complete, and understandable to users. Important information should not be hidden or obfuscated.

6. Compliance: Accountants must adhere to relevant accounting standards, laws, and regulations while preparing financial statements.

7. Responsibility to Stakeholders: Accountants have a responsibility to provide accurate information to stakeholders, helping them make informed decisions.

Ethical behavior in accounting is crucial to maintaining the credibility of financial information, building trust with stakeholders, and ensuring the accuracy and reliability of financial reporting.

1-c) Explain the term 'Notes receivable' Why Notes receivable an asset? (Marks : 2)

Solution :

Notes Receivable: A "Notes Receivable" is a written commitment from a debtor to pay a specific amount on a future date.

Why it's an Asset:

1. The note represents an expected cash payment in the future, increasing the company's financial resources.

2. The note is a legally binding promise, indicating a valuable claim the company holds.

3. The note's existence adds value to the company's financial position, contributing to its overall wealth.

1-b) Where we can use Accounting? (Marks : 4)

Solution :

Use of Accounting :
Accounting can be used in a variety of settings, including:

Businesses of all sizes: Accounting is essential for businesses of all sizes to track their financial performance, manage their finances, and make informed business decisions.

Government: Governments use accounting to track their revenue and expenses, manage their budgets, and ensure that they are complying with financial regulations.

Non-profit organizations: Non-profit organizations use accounting to track their donations, expenses, and other financial information. This information is used to ensure that the organization is operating efficiently and effectively.

Individuals: Individuals can use accounting to track their income and expenses, create budgets, and plan for their financial future.

Investors: Investors use accounting information to assess the financial health of companies and make investment decisions.

Creditors: Creditors use accounting information to assess the creditworthiness of borrowers and make lending decisions.

Lawyers: Lawyers use accounting information to support their clients in legal disputes.

Auditors: Auditors use accounting information to assess the accuracy and fairness of financial statements.

Accounting is a versatile tool that can be used in many different settings. By understanding the basics of accounting, you can gain valuable insights into the financial world and make better financial decisions for yourself or your organization.

Autumn-17 : **Marks-4**

4-a) Write short notes on : **a. Business organization**

b. Accounting principle.

c. Use of accounting.

d. Public accounting.

Solution :

a. Business Organization:

A business organization is a structured entity that engages in commercial activities to achieve specific goals, such as producing goods or offering services. Types include sole proprietorships, partnerships, corporations, and more.

b. Accounting Principle:

An accounting principle is a fundamental guideline that ensures consistency and accuracy in financial reporting. Examples include the Matching Principle and Revenue Recognition Principle.

c. Use of Accounting:

Accounting records, analyzes, and interprets financial information for decision-making. It aids in financial reporting, budgeting, investment decisions, and tax compliance.

d. Public Accounting:

Public accounting firms provide services like auditing, tax preparation, and consulting to various clients, including businesses and government entities. It adheres to accounting standards and serves external stakeholders.

Autumn-18 :

2-a) Explain the terms : **1. Depreciation**

(Marks : 04) **2. Unearned Revenue**

Solution :

1. Depreciation:

Depreciation is a concept in accounting that refers to the gradual decrease in the value of tangible assets over time. It reflects the wear and tear, obsolescence, or usage of assets such as machinery, vehicles, buildings, and equipment. Depreciation is recorded as an expense on the income statement and helps allocate the cost of the asset over its useful life. Various methods, such as straight-line or declining balance, are used to calculate and allocate depreciation.

2. Unearned Revenue:

Unearned revenue, also known as deferred revenue, refers to money that a company has received from customers in advance for products or services that have not yet been delivered or provided. It's a liability on the company's balance sheet until the goods or services are provided. As the company fulfills its obligations and delivers what was paid for, the unearned revenue is gradually recognized as revenue on the income statement. Examples include magazine subscriptions paid for upfront or prepayments for software licenses.

7) Write short notes (any. five)

a) Cash Budget

b) Accounts Receivable

c) Cost of Goods Manufactured

d) Account Revenue

e) Opportunity Cost

f) Sunk Cost

g) Sales Discount

Solution :

a) Cash Budget:

A cash budget is a financial plan that outlines a company's expected cash inflows and outflows over a specific period. It helps manage cash flow by forecasting when money will be received and when it needs to be spent. This aids in ensuring that the company has enough cash on hand to cover its expenses and investments.

b) Accounts Receivable:

Accounts Receivable are amounts owed to a company by its customers for goods or services provided on credit. It's an asset on the balance sheet and represents future cash inflow. The company expects to collect these amounts from customers within a specified time frame.

c) Cost of Goods Manufactured:

The Cost of Goods Manufactured is the total cost incurred by a company to produce finished goods during a specific period. It includes direct materials, direct labor, and manufacturing overhead. This cost is transferred to the finished goods inventory and later to the cost of goods sold when the goods are sold.

d) Account Revenue:

Revenue is the total amount of money generated by a company's sales of goods or services. It represents the top line of the income statement and is a key indicator of a company's business activity and financial performance.

e) Opportunity Cost:

Opportunity cost refers to the value of the next best alternative foregone when a decision is made. It represents the potential benefits that could have been obtained if a different choice was pursued. It's an important concept in decision-making and evaluating trade-offs.

f) Sunk Cost:

Sunk costs are costs that have been incurred in the past and cannot be recovered or changed by future decisions. They should not influence current decisions since they are irrelevant to the decision-making process.

g) Sales Discount:

A sales discount is a reduction in the selling price of goods or services offered by a seller to encourage prompt payment by the buyer. It's typically expressed as a percentage and is intended to incentivize customers to pay their invoices earlier than the standard payment terms.

Spring 19 :

1.a) Who are the users of accounting information. Discuss. [marks - 4]

Solution :

Individuals : People uses accounting information in day-to-day affairs to manage their bank accounts, to evaluate job prospects, to make investments, and to decide whether to rent or to buy a house.

Businesses : Managers of businesses use accounting information to set goals for their organizations, to evaluate their progress toward those goals, and to take corrective action if necessary. Decisions based on accounting infor- mation may include which building and equipment to purchase, how much merchandise inventory to keep on hand, and how much cash to borrow.

Investors and Creditors : Investors provide the money that businesses need to begin operations. To decide whether to help stait a new venture, potential investors evaluate what read they can seasonally expect on their investment. This means analyzing the finance statements of the new business. Those people who do invest monitor the progress of the business by analyzing the company's financial statements and by keeping up with its developments in the business press-for example, The Wall Street Journal, Business Week, Forbes, and Fortune. Accounting reports are a major source of information for the business press. Before making a loan, potential lenders determine the borrower's ability to meet scheduled payments. This evaluation includes a projection of future. operations, which is based on accounting information.

Government Regulatory Agencies : Most organizations face government regulation. For example, the Securities and Exchange Commission (SEC), a federal agency, requires businesses to disclose certain financial information to the investing public. The SEC, like many government agencies, bases its reg- ulatory activity in part on the accounting information it receives from firms.

Taxing Authorities : Local, state, and federal governments levy taxes on individuals and businesses. The amount of the tax is figured using accounting information. Businesses determine their sales tax based on their accounting records that show how much they have sold. Individuals and businesses com- pute their income tax based on their recorded earnings.

Nonprofit organizations : Nonprofit organizations--such as churches, most hospitals, government agencies, and colleges, which operate for purpres other than to earn a profit-use accounting information in much the same way that profit-oriented businesses do. Both profit organizations and nonprofit organizations deal with budgets, payrolls, rent payments, and the like-all from the accounting system.

1.b) What are the difference between proprietorship business and corporation? [Marks - 2]

Solution :

Certainly, here's a concise comparison between proprietorship and corporation:

1. **Legal Structure**:

   - Proprietorship: Owned by an individual, no legal separation.

   - Corporation: Separate legal entity from shareholders.

2. **Liability**:

   - Proprietorship: Owner has unlimited liability.

   - Corporation: Shareholders' liability is limited to investment.

3. **Ownership and Control**:

   - Proprietorship: Owner has full control.

   - Corporation: Control through shareholders and board.

4. **Transferability**:

   - Proprietorship: Ownership transfer is complex.

   - Corporation: Ownership transfer via share sales.

5. **Taxation**:

   - Proprietorship: Owner's personal tax rate.

   - Corporation: Corporate and potential dividend tax.

6. **Duration**:

   - Proprietorship: Tied to owner's life.

   - Corporation: Perpetual existence.

7. **Capital Formation**:

- Proprietorship: Limited funding options.
- Corporation: Diverse funding sources.

1.c) Write about the rules of debit and credit. [marks - 4]

Solution :

The rules of debits and credits are fundamental principles in accounting that guide the recording of financial transactions in a double-entry bookkeeping system. This system ensures that each transaction affects at least two accounts with equal debits and credits, maintaining the balance in the accounting equation (Assets = Liabilities + Equity). The rules of debits and credits help maintain the accounting equation's balance and ensure accurate financial reporting.

The basic rules of debits and credits are as follows :

Assets:
Debit entries increase asset accounts, reflecting additional assets acquired. Credit entries decrease asset accounts, showing reductions in assets due to sales or other activities.

Example : when a company receives cash from a customer for goods sold, Cash (an asset) is debited, and Sales (revenue) is credited.

Liabilities: Debit entries decrease liability accounts, indicating the reduction of obligations. Credit entries increase liability accounts, showing an increase in liabilities due to borrowing or other transactions.

Example :When a company borrows money from a bank, Cash (an asset) is credited, and Notes Payable (a liability) is credited.

Equity (Owner's Capital): Debit entries decrease equity accounts, typically due to withdrawals by the owner. Credit entries increase equity accounts, reflecting investments made by the owner or retained earnings.

Example : When an owner invests additional capital into the business, Cash (an asset) is debited, and Owner's Capital (equity) is credited.

Revenues (Income): Debit entries are unusual for revenue accounts. Credit entries increase revenue accounts, representing income earned by the company.

Example :When the company pays rent expense, Rent Expense (an expense) is debited, and Cash (an asset) is credited.

Expenses: Debit entries increase expense accounts, indicating costs incurred by the company. Credit entries are unusual for expense accounts.

Autumn 19 :

1.a) What is accounting?Explain the different branches of accounting. [marks - 4]

Solution : Accounting is the process of systematically recording, summarizing, and analyzing financial transactions of a business or individual to track their financial activities and produce accurate financial statements. It helps provide insights into the financial health and performance of the entity.

Branches of Accounting :

Accounting is generally classified into three different disciplines:

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1.b)What does "transaction" mean in accounting?[marks -2]

Solution:

In accounting, a "transaction" refers to any financial activity or event that affects the financial position of a business or individual. Transactions involve the exchange of assets, liabilities, or equity and are recorded in the accounting system to track changes in financial values.

1.c) State the meaning of Asset in accounting with at least five examples. ? [marks - 4]

Solution:

In accounting, an "asset" refers to something of value that is owned by a business or individual and is expected to provide future economic benefits. Here are five examples of assets:

1. Cash: Physical currency, coins, and money held in bank accounts that can be readily used for transactions.

2. Accounts Receivable: Money owed to a business by its customers for goods or services provided on credit.

3. Inventory: Goods held for sale or raw materials used in the production process.

4. Property, Plant, and Equipment: Physical assets like land, buildings, machinery, and vehicles used to conduct business operations.

5. Investments: Stocks, bonds, and other securities owned by a business with the expectation of earning dividends, interest, or capital appreciation.

These assets are recorded on the balance sheet and contribute to the overall value of an entity.

Autumn-18 :

2-a) Discuss the Generally Accepted Accounting Principles. Marks-5

Solution :

Accounting principles follow certain guidelines. The rules that govern how accountants measure,

process, & communicate financial information fall under the heading GAAP, which stands for

Generally Accepted Accounting Principles.

Generally Accepted Accounting Principles (GAAP) include not only principles but also concepts &

methods that identify the proper way to produce accounting information. GAAP comprises all

conventions, rules, and procedures that constitute accepted accounting practice at any time.

Generally Accepted Accounting Principles are like the law–rules for conducting behavior in a way

acceptable to the majority of people.

Principle of regularity: Regularity can be defined as conformity to enforced rules and laws.

Principle of consistency: This principle states that when a business has once fixed a method

for the accounting treatment of an item, it will enter all similar items that follow in exactly the

same way.

Principle of sincerity: According to this principle, the accounting unit should reflect in good faith the reality of the company's financial status.

Principle of the permanence of methods: This principle aims at allowing the coherence and comparison of the financial information published by the company.

Principle of non-compensation: One should show the full details of the financial information and not seek to compensate a debt with an asset, revenue with an expense, etc.

Principle of prudence: This principle aims at showing the reality "as is": one should not try to make things look prettier than they are. Typically, revenue should be recorded only when it

is certain and a provision should be entered for an expense which is probable.

Principle of continuity: When stating financial information, one should assume that the business will not be interrupted. This principle mitigates the principle of prudence: assets do not have to be accounted at their disposable value, but it is accepted that they are at their historical value.

Principle of periodicity: Each accounting entry should be allocated to a given period, and split accordingly if it covers several periods. If a client pre-pays a subscription (or lease, etc.), the given revenue should be split to the entire time-span and not counted for entirely on the date of

the transaction.

Principle of Full Disclosure/Materiality: All information and values pertaining to the financial position of a business must be disclosed in the records.

Principle of Utmost Good Faith: All the information regarding to the firm should be disclosed to the insurer before the insurance policy is taken.

2-b) Discuss the rules of debit and credit. [Marks-3]

Solution :

In accounting, the rules of debit and credit are fundamental principles used to record financial transactions:

1. Debit (DR):

- Debit entries increase assets and expenses.
- Debit entries decrease liabilities, equity, and revenue.

2. Credit (CR):

- Credit entries increase liabilities, equity, and revenue.
- Credit entries decrease assets and expenses.

These rules ensure that every transaction is recorded accurately, with the total debits equaling the total credits to maintain the balance in the accounting equation (Assets = Liabilities + Equity).

For example –
When a company purchases a new asset, the asset is debited and the liability is credited.
When a company pays a bill, the expense is debited and the cash account is credited.
When a company receives payment from a customer, the cash account is debited and the revenue account is credited.

2-c) Explain the term "Prepaid Expense". Why Prepaid Expense is an Asset? [Marks-2]
Solution :

A prepaid expense is an asset that is paid for in advance of when it is actually used or consumed. For example, a company may pay for a year's worth of insurance in advance. The prepaid expense is recorded as an asset because it represents a future economic benefit to the company.

Prepaid expenses are eventually used up or consumed, and the amount that has been used is recorded as an expense. For example, the company that paid for a year's worth of insurance would record an expense each month as the insurance is used up.

Prepaid expenses are considered assets because they represent future economic benefits to the company. The company has the right to use the asset and expects to receive economic benefits from it in the future.

Here are some examples of prepaid expenses:

* Rent
* Insurance
* Utilities
* Advertising
* Office supplies